

- RAG Learning

3.1.6 The Labour Market

The Labour Market as a Factor Market

Everything in topics 3.1.3 to 3.1.5 concerned *product* markets — markets for goods and services. The labour market is a **factor market**: the "good" being traded is the service of labour, the "price" is the **wage rate**, the buyers are **firms** and the sellers are **workers**. The roles are therefore reversed: households supply, firms demand.

The labour market is the market in which the services of labour are bought and sold. The equilibrium **wage rate** and **level of employment** are determined by the interaction of the demand for labour and the supply of labour.

The wage rate is the price of an hour (or week, or year) of labour. The **real wage** is the nominal wage adjusted for inflation — it measures the purchasing power of earnings.

Exam Tip: On every labour market diagram the vertical axis is the **wage rate (W)** and the horizontal axis is the **quantity of labour (L)** — hours or workers. Examiners reward correctly labelled axes. Never label the axes P and Q on a labour market diagram.

The Demand for Labour

Derived demand: the demand for labour is not wanted for its own sake. It is *derived* from the demand for the goods and services that labour produces. If demand for the final product rises, demand for the labour that makes it rises too; if the product market collapses, so does the demand for that labour.

Examples: demand for construction workers is derived from demand for new housing; demand for airline cabin crew is derived from demand for flights; demand for data-centre engineers is derived from demand for cloud computing services.

Marginal Revenue Product (MRP) Theory

A profit-maximising firm hires an extra worker only if that worker adds more to revenue than to costs. The revenue a worker adds is their **marginal revenue product**.

$$MRP_L = MPP_L \times MR$$

Marginal physical product (MPP) is the extra *output* produced by employing one more unit of labour, all other factors held constant.

Marginal revenue product (MRP) is the extra *revenue* generated by employing one more unit of labour. It equals the extra output that worker produces multiplied by the marginal revenue earned on that output.

In a perfectly competitive product market $MR = \text{price}$, so $MRP_L = MPP_L \times P$.

Worked Example: A Bakery

A bakery sells loaves at a market price of £20 per tray. Capital (ovens, floor space) is fixed in the short run.

Workers	Total output (trays/week)	MPP (trays)	MR = Price (£)	MRP (£/week)
1	8	8	20	160
2	20	12	20	240
3	35	15	20	300
4	48	13	20	260
5	58	10	20	200

6	64	6	20	120
7	67	3	20	60

If the weekly wage is £200, the firm hires **5 workers**. The fifth worker adds exactly £200 of revenue for £200 of cost. A sixth worker would add only £120 of revenue for £200 of cost and would reduce profit. The profit-maximising rule is therefore:

Hire labour up to the point where $MRP_L = \text{the marginal cost of labour}$

Why the MRP curve slopes downward. Beyond the third worker, MPP falls because of the **law of diminishing marginal returns** (3.1.4) — extra workers are being added to a fixed quantity of capital. In an imperfectly competitive product market MRP falls even faster, because the firm must also cut price to sell the extra output, so MR falls as well as MPP.

The MRP curve is the firm's labour demand curve. At any wage, the firm reads off the MRP curve to find how much labour it wants. The *market* demand curve for labour is the horizontal sum of all firms' MRP curves.

Influences on the Demand for Labour

Influence	Effect on D_L	Explanation
Demand for the final product	Rise → shift right	Derived demand. A boom in product demand raises price and therefore MR, raising MRP at every level of employment.
Labour productivity	Rise → shift right	Higher MPP (better training, better capital, better management) raises MRP directly.
Price of capital	Fall → shift left	If machines become cheaper relative to labour, firms substitute capital for labour. Robotics and AI have this effect on routine tasks.

Non-wage employment costs	Rise → shift left	Employer National Insurance contributions, pension auto-enrolment and apprenticeship levy payments all raise the cost of employing a worker at any given wage.
Regulation and employment law	Tighter → usually shift left	Higher expected costs of hiring, or of dismissing, reduce the labour a firm wants at each wage.
Profitability and business confidence	Rise → shift right	Expectations of future demand drive hiring decisions, since recruitment and training are themselves an investment.

Elasticity of Demand for Labour

Wage elasticity of demand for labour measures the responsiveness of the quantity of labour demanded to a change in the wage rate.

$$\text{Elasticity of } D_L = \% \text{ change in quantity of labour demanded} \div \% \text{ change in wage rate}$$

Demand for labour is **more elastic** when:

- **Labour is easily substituted by capital** — supermarket checkout staff can be replaced by self-service tills; a surgeon cannot easily be replaced by a machine.
- **Labour costs are a high proportion of total costs** — in labour-intensive services such as care homes or hospitality, a wage rise is a large cost shock, so firms react strongly.
- **Demand for the final product is price elastic** — the firm cannot pass higher wage costs on in prices without losing a lot of sales, so it must cut employment instead.
- **The time period is long** — in the long run firms can redesign production, relocate or automate. Demand for labour is more elastic in the long run than the short run.

Exam Tip: Elasticity of labour demand is the single most useful evaluation tool in this topic.

Whether a minimum wage, a union wage claim or a rise in employer National Insurance destroys many jobs or few jobs depends almost entirely on how elastic the demand for that kind of labour is.

The Supply of Labour

The supply of labour is the number of workers (or hours) willing and able to work at each wage rate in a given time period. It can be considered at three levels: the supply to an individual *firm*, the supply to an *occupation or industry*, and the aggregate supply of labour to the *whole economy*.

Supply to an Occupation

The supply curve to a particular occupation is normally **upward sloping**: a higher wage attracts workers away from other occupations, encourages existing workers to work longer hours, and persuades some economically inactive people to enter the labour force.

The Individual's Labour Supply: Income and Substitution Effects

An individual chooses how to allocate a fixed number of hours between **work** and **leisure**. A wage rise has two opposing effects:

- **Substitution effect**: a higher wage raises the opportunity cost of an hour of leisure — each hour not worked now costs more forgone income. This encourages the worker to *substitute work for leisure* and supply **more** hours.
- **Income effect**: a higher wage means the worker can reach any given target income with fewer hours. If leisure is a normal good, higher income leads them to "buy" more leisure and supply **fewer** hours.

At low wages the substitution effect normally dominates and the supply curve slopes upward. At high wages the income effect may dominate, so that a further wage rise causes hours to *fall*. This produces the **backward-bending individual labour supply curve**.

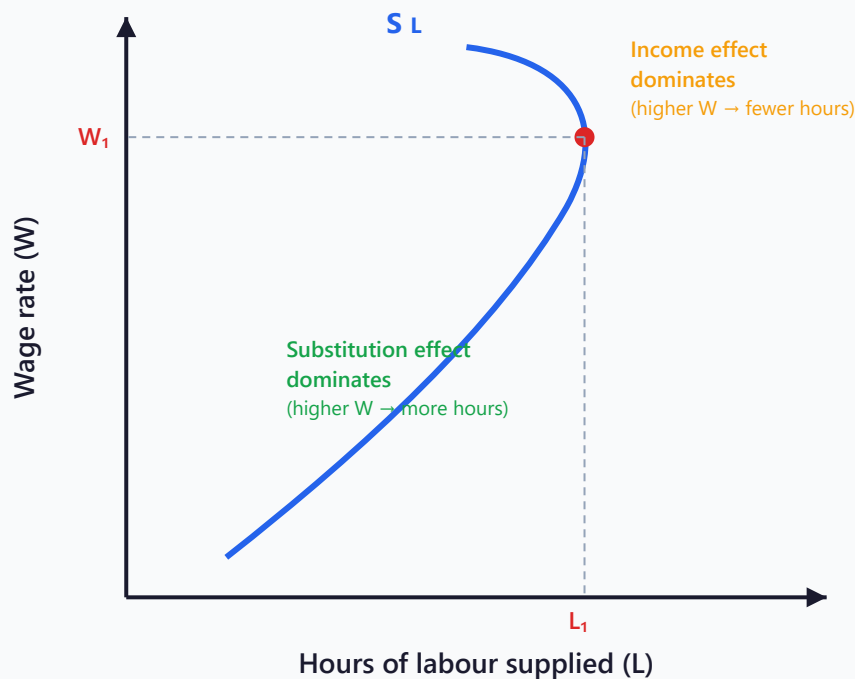


Figure 1: The backward-bending individual labour supply curve. Above the wage W_1 the income effect of a wage rise outweighs the substitution effect and the worker chooses fewer hours.

Exam Tip: The backward bend applies to the *individual*, and only at high wages. The **market** supply curve for an occupation is still drawn upward sloping, because a higher wage attracts entirely new workers into that occupation from elsewhere. Do not draw a backward-bending market supply curve unless the question specifically asks for the individual case.

Monetary and Non-Monetary Considerations: Net Advantages

Workers do not choose an occupation on pay alone. They compare the **net advantages** of jobs — the whole package of monetary and non-monetary rewards.

Monetary considerations

Non-monetary considerations

Basic wage or salary; overtime rates; bonuses and commission; pension contributions; sick pay and paid holiday; company car or subsidised travel

Job satisfaction and status; working conditions and safety; hours and flexibility (including home working); job security; promotion prospects; training offered; location and commuting time; colleagues and culture

Jobs with poor non-monetary characteristics must pay a **compensating wage differential** to attract workers. Offshore oil rig work and night-shift work pay premiums for this reason. Conversely, jobs with high job satisfaction or status — such as charity work or academic research — can recruit at relatively low pay.

Influences on the Elasticity of Labour Supply

Supply of labour to an occupation is **more elastic** when:

- **Qualifications and training requirements are low** — supply of warehouse operatives is very elastic; supply of consultant cardiologists, who need roughly 14 years of training, is highly inelastic.
- **The skills are transferable** — general skills such as driving or basic IT mean workers can move in from other occupations easily.
- **The time period is longer** — training pipelines take years, so supply is far more elastic in the long run.
- **The pool of potential workers is large and mobile** — access to migrant labour, or an occupation spread across the whole country rather than one region, makes supply more elastic.
- **The occupation is a small share of the wider labour market** — it can draw in workers without bidding up wages across the economy.

Real-World Example: The UK Labour Market in 2026

ONS figures for **May to July 2026** put the UK unemployment rate at **4.9%** for those aged 16 and over, the employment rate at **75.1%** and the economic inactivity rate at **20.9%** for those aged 16 to 64. Around one in five working-age people is neither in work nor looking for work — these people are outside the labour supply altogether, and reducing inactivity (through health provision, childcare and training) is a central supply-side aim. Note that the ONS has warned that Labour Force Survey estimates are currently less reliable than usual because of falling survey response rates, so these figures should be treated as indicative rather than precise.

Wage Determination in a Competitive Labour Market

A **perfectly competitive labour market** assumes: many small firms and many workers, so neither side has wage-setting power; homogeneous (identical) labour; perfect information about wages and vacancies; and perfect mobility of labour. Each firm is a **wage taker** — it can hire as much labour as it likes at the going market wage, so for the individual firm the supply of labour is perfectly elastic and $W = AC_L = MC_L$.

The market wage is set where market demand for labour (the sum of firms' MRP curves) equals market supply.

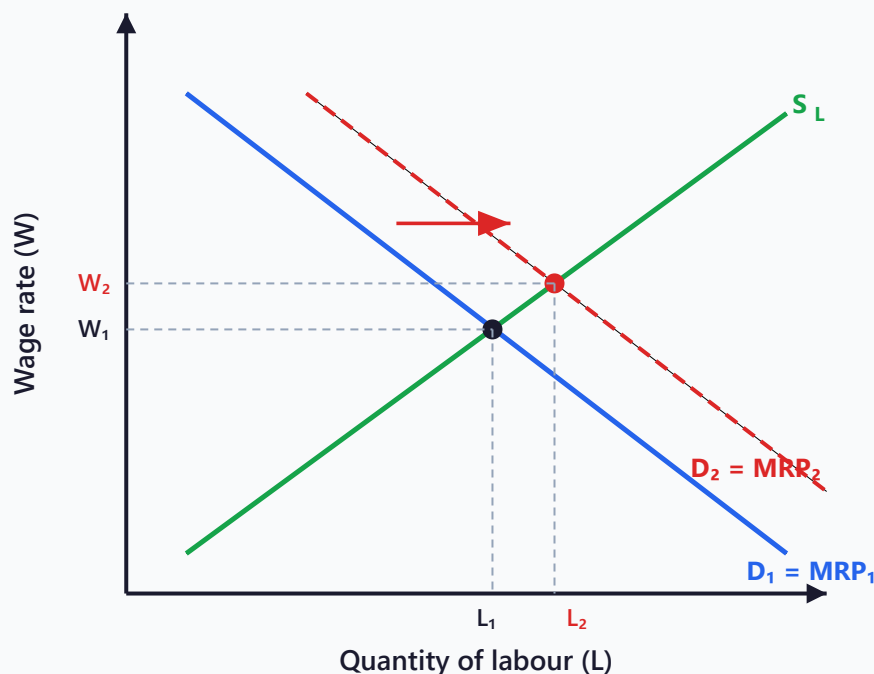


Figure 2: Equilibrium in a competitive labour market. An increase in demand for labour (for example because product demand or productivity has risen) shifts MRP right, raising both the equilibrium wage from W_1 to W_2 and employment from L_1 to L_2 .

Causes of Shifts and Their Effects

Change	Curve that shifts	Effect on wage	Effect on employment
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Boom in demand for the final product	D_L right	Rises	Rises
Automation replaces routine tasks	D_L left	Falls	Falls
Net inward migration of workers with those skills	S_L right	Falls	Rises
Tighter licensing or longer training requirements	S_L left	Rises	Falls
Improved non-monetary conditions in the job	S_L right	Falls	Rises

Exam Tip: The size of the wage change depends on the *elasticities*. A demand shift in a market with very inelastic labour supply (doctors, airline pilots) produces a large wage rise and little extra employment. The same shift where supply is elastic (retail, warehousing) produces a large employment rise and little wage change. Saying which effect dominates is worth evaluation marks.

Imperfectly Competitive Labour Markets: Monopsony

A **monopsony** is a labour market with a single (or dominant) **buyer** of labour. The monopsonist is a **wage maker**, not a wage taker: it faces the whole upward-sloping market supply curve of labour and can choose the wage it pays.

Why the Marginal Cost of Labour Lies Above the Supply Curve

Because the monopsonist faces an upward-sloping supply curve, it must raise the wage to attract an extra worker — and, assuming it pays all workers the same rate, it must pay that higher wage to **every** worker already employed. So the cost of the extra worker is their own wage *plus* the rise in the wage bill of all existing workers.

Workers	Wage needed (£/week)	Total cost of labour (£)	Marginal cost of labour (£)
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1	300	300	300
2	320	640	340
3	340	1,020	380
4	360	1,440	420
5	380	1,900	460

The wage column is the **average cost of labour (AC_L)** — it is the supply curve. The final column is **MC_L** , which rises twice as fast. This mirrors the AR and MR relationship for a monopoly seller (3.1.4): where the average curve slopes, the marginal curve diverges from it.

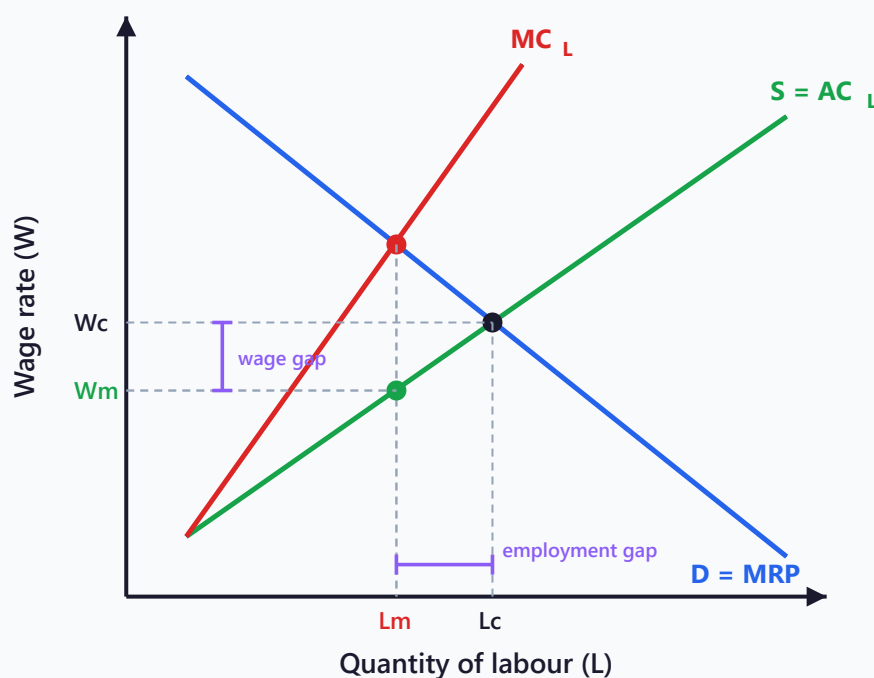


Figure 3: Monopsony. The firm employs L_m where $MC_L = MRP$, then reads the wage off the supply curve at W_m . Compared with the competitive outcome (W_c, L_c) where $S = MRP$, the monopsonist pays a **lower wage** and employs **fewer workers**.

Reading the Monopsony Diagram — the Two-Step Rule

1. **Quantity first:** the profit-maximising monopsonist employs where $MC_L = MRP$. Drop a vertical line down to the horizontal axis to find L_m .
2. **Wage second:** the wage is read off the **supply curve** (AC_L) at that level of employment, not off the MC_L curve and not off MRP . Workers will supply L_m hours for W_m , so that is all the monopsonist needs to pay.

The gap between MRP and the wage at L_m is **exploitation** in the technical economic sense: workers are paid less than the value of what they produce. Output is also below the competitive level, so there is a welfare loss.

Exam Tip: The single most common error in this topic is reading the monopsony wage off the MC_L curve. The wage is always on the supply curve. A second common error is drawing MC_L below AC_L : because AC_L is rising, MC_L must lie *above* it and be steeper.

Real-World Example: The NHS and the Ministry of Defence as Monopsonists

The NHS is overwhelmingly the dominant employer of nurses, paramedics and junior doctors in the UK, and the Ministry of Defence is the only buyer of armed forces personnel. A nurse who dislikes their NHS pay settlement has very few alternative UK employers of nursing labour, so the employer faces an upward-sloping supply curve and can influence the wage. Pay in these occupations is set through pay review bodies rather than a free market precisely because the buyer side is so concentrated. Monopsony is also strong in local labour markets — a single large distribution centre or processing plant in a small town can be the dominant employer of low-skilled labour for miles around.

Trade Unions and Collective Bargaining

A trade union is an organisation of workers that bargains collectively with employers over pay and conditions. By acting as a single seller of labour it introduces **monopoly power on the supply side** of the labour market.

Collective bargaining is negotiation between a union (or several unions) and an employer over the

pay and conditions of a whole group of workers, rather than individual negotiation worker by worker.

How Unions Try to Raise Wages

- **Bargaining directly for a wage floor** above the market rate, backed by the threat of industrial action.
- **Restricting labour supply** — supporting minimum qualification requirements, closed shops (now unlawful in the UK) or professional licensing, shifting S_L left.
- **Raising labour demand** — supporting productivity deals, training and "buy British" campaigns to shift MRP right, which raises wages *and* employment.

A Union in a Competitive Labour Market

If a union imposes a wage above the competitive equilibrium in an otherwise competitive market, the effective supply curve becomes horizontal at the union wage up to the point where the original supply curve reaches it. The standard result is: **wages rise but employment falls**, and there is excess supply of labour (more workers want jobs at the union rate than firms will hire). The size of the job losses depends on the elasticity of demand for labour — the more inelastic it is, the smaller the fall in employment for a given wage gain.

A Union Facing a Monopsonist: Bilateral Monopoly

Bilateral monopoly exists where a single buyer of labour (monopsonist) faces a single seller of labour (a union). Neither side is a wage taker, and the outcome cannot be predicted by supply and demand alone — it depends on the **relative bargaining power** of the two sides.

This is the crucial result for evaluation: in a monopsony the monopsonist has already pushed the wage *below* the competitive level and employment below the competitive level. A union that bargains the wage up from W_m towards W_c **removes the monopsonist's ability to hold employment down**: once the wage is fixed, the marginal cost of labour becomes constant at that wage, so the firm expands employment to where the fixed wage equals MRP.

So in a monopsony a union can raise **both the wage and employment at the same time** — the opposite of the competitive case. If the union pushes the wage far above W_c , employment will eventually fall back below L_c .

Determinants of Trade Union Bargaining Power

- **Union density** — the proportion of the workforce that is a member. A union speaking for nearly all workers can credibly threaten to halt production.
- **Elasticity of demand for labour** — inelastic demand (few substitutes for the workers, labour a small share of costs) strengthens the union, because job losses from a wage rise will be small.
- **The employer's profitability** — a highly profitable firm can absorb a wage rise out of supernormal profit.
- **The cost of disruption to the employer** — unions in essential, time-critical services (rail, air traffic control, refuse collection) have greater leverage.
- **Legislation** — UK law requires ballots, notice periods and turnout thresholds before lawful industrial action, and outlaws secondary action, all of which limit union power.
- **Macroeconomic conditions** — unions bargain from strength when unemployment is low and labour is scarce.

Real-World Example: UK Trade Union Density in 2025

According to the Department for Business and Trade's *Trade union statistics 2025*, **22.4%** of UK employees were trade union members in 2025, up slightly on 2024. The figure conceals an enormous split: density was **48.5% in the public sector** but only **12.1% in the private sector**, with roughly 4.0 million public-sector and 2.5 million private-sector members. Density was highest in Northern Ireland (32.4%) and lowest in England (21.0%). This is why collective bargaining still shapes pay in schools, hospitals and the railways while having very little direct effect on pay in retail, hospitality or technology — and it is a useful evaluation point whenever a question assumes unions are a major force across the whole economy.

The National Minimum Wage and the National Living Wage

A national minimum wage (NMW) is a legally enforced wage floor. To have any effect it must be set **above** the market equilibrium wage. In the UK the top rate is branded the **National Living Wage (NLW)** and applies to workers aged 21 and over.

A maximum wage is a legally enforced wage ceiling, set **below** the equilibrium wage. Maximum

wages are rare, but pay caps in the public sector and proposals to cap executive or banker pay are examples.

Real-World Example: UK Minimum Wage Rates from April 2026

Following recommendations from the **Low Pay Commission** confirmed in the Autumn Budget of **26 November 2025**, the National Living Wage rose to **£12.71 an hour from April 2026** for workers aged 21 and over — a **4.1%** increase on the previous rate of £12.21. The National Minimum Wage rose to **£10.85** for 18 to 20 year olds and **£8.00** for 16 to 17 year olds and apprentices, both also from April 2026. For context, CPI inflation was running at about **3% in August 2026**, so the NLW rise represented a real-terms increase in the wage floor.

Effect in a Competitive Labour Market

Simple competitive theory predicts that a wage floor above equilibrium causes a **contraction of labour demand** and an **extension of labour supply**, creating **excess supply of labour** — that is, unemployment in that market. Those who keep their jobs gain; those who lose them, or who never get hired, lose. The size of the job loss again depends on elasticity of demand for labour.

Effect in a Monopsonistic Labour Market

The result is very different. Once the wage is fixed by law at $W_{\min}$, the monopsonist can hire any number of workers up to the supply limit at that constant wage, so the effective marginal cost of labour is **horizontal** at $W_{\min}$. The firm no longer has to raise everyone's pay to hire one more worker, so its incentive to restrict employment disappears.

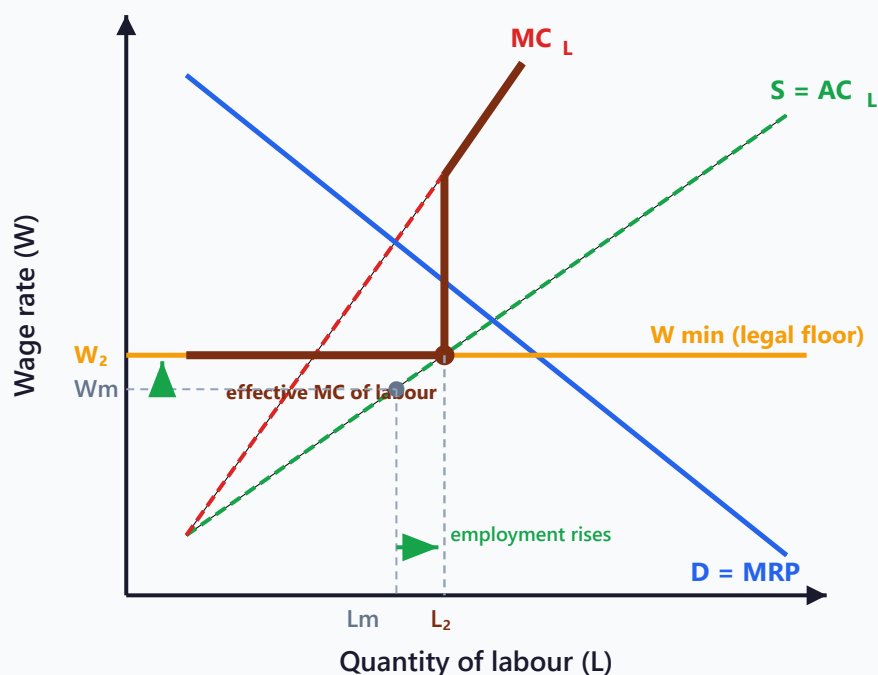


Figure 4: A minimum wage imposed on a monopsonist. The effective marginal cost of labour becomes horizontal at $W_{\min}$, so the firm expands employment from L_m to L_2 . **Both the wage and employment rise**, and the exploitation gap narrows.

Evaluating the Minimum Wage

Arguments for	Arguments against
Reduces in-work poverty and wage inequality at the bottom of the distribution	Competitive theory predicts job losses, concentrated among the young and low-skilled
Counters monopsony exploitation, raising both pay and employment where employers have buying power	Raises firms' costs, which may be passed on as higher prices (cost-push inflation) in labour-intensive services
Efficiency wage effects: better-paid workers may be more motivated, with lower turnover and training costs	May reduce hours, cut non-wage benefits, or accelerate automation rather than cut headcount outright

Higher incomes for low earners with a high marginal propensity to consume raise aggregate demand	Does not help those already out of work, or those in the informal economy where it is not enforced
Reduces the cost of in-work benefits to the taxpayer, since employers rather than the state pay for a living income	Compresses differentials, which can reduce the incentive to train or take on supervisory responsibility

Real-World Evidence: Why UK Minimum Wage Rises Have Not Destroyed Jobs

Since 1999 the UK minimum wage has risen substantially in real terms, yet it has not produced the large falls in employment that simple competitive theory predicts. The usual explanations are: widespread **monopsony power** among employers of low-paid labour, so rises simply reclaim part of the exploitation gap; the fact that increases have been **moderate and pre-announced** by the Low Pay Commission, letting firms plan; and that firms have absorbed the cost through **lower profit margins, higher prices, or productivity improvements** rather than redundancies. This is a strong evaluation point — but be careful, because the NLW is now a much higher share of median pay than in 1999, so past evidence may be a poorer guide to the effect of future rises.

Maximum Wages

A maximum wage set below the equilibrium creates **excess demand for labour**: firms want more workers than are willing to supply at that wage, producing shortages and vacancies. Arguments in favour focus on reducing inequality and curbing excessive executive pay unrelated to productivity. Arguments against include a brain drain of talent to countries or sectors without a cap, avoidance through share options and benefits in kind, and the loss of the incentive function of high pay.

Discrimination and Wage Differentials

Labour market discrimination occurs when workers of equal productivity are treated differently — in hiring, pay or promotion — because of a characteristic unrelated to their ability to do the job, such as sex, ethnicity, age or disability.

The Economics of Discrimination

An employer who discriminates against a group behaves as though that group's MRP is lower than it really is. The consequences are:

- **For the discriminated-against group:** demand for their labour is artificially lower, so their wage and employment are lower than their productivity justifies.
- **For the favoured group:** demand for their labour is artificially higher, so their wage is higher than productivity justifies.
- **For the firm:** it is not minimising costs, because it is rejecting equally productive cheaper labour. Discrimination raises average costs and is a source of **productive inefficiency**.
- **For the economy:** talent is misallocated, human capital is wasted and potential output is lower — a **misallocation of resources** and therefore a market failure.

Note the theoretical counter-argument: in a competitive market, non-discriminating firms have lower costs and should drive discriminating firms out. That discrimination persists suggests markets are *not* perfectly competitive, that information about productivity is imperfect, or that customer and co-worker prejudice makes discrimination privately profitable.

Why Wage Differentials Exist

Source of differential	Explanation
Differences in MRP	Higher skills, qualifications and experience raise MPP, so employers will pay more. This is the main legitimate source of differentials.
Differences in elasticity of supply	Occupations requiring long training have inelastic supply, so wages are high relative to the equilibrium in occupations anyone can enter.
Compensating differentials	Dangerous, unpleasant or unsociable work must pay more to attract workers of the same skill.
Labour immobility	Geographical and occupational immobility stop workers moving to better-paid jobs, allowing regional and sectoral pay gaps to persist.

Trade unions and monopsony	Bargaining power on either side pushes wages away from the competitive rate, creating differentials between otherwise similar jobs.
Imperfect information	Workers do not know all the wages on offer, so identical jobs can pay different rates in the same town.
Discrimination	Differentials unrelated to productivity, as above.

Real-World Example: The UK Gender Pay Gap, ASHE April 2025

ONS Annual Survey of Hours and Earnings data for **April 2025** show median hourly pay excluding overtime for full-time employees of **£20.27 for men and £18.87 for women** — a gender pay gap of **6.9%**, down from 7.1% in 2024. Including part-time workers, the gap across all employees was **12.8%**, because women are far more likely to work part time and part-time jobs pay less per hour on average.

The age pattern is the most revealing part of the data. For full-time employees the gap was just **0.9% at ages 22 to 29, 3.9% at 30 to 39, 9.1% at 40 to 49 and 12.5% at 50 to 59**. The gap opens up in the decade in which many women take career breaks and move to part-time work for childcare, missing promotions and accumulating less experience. This is why economists distinguish the *gender pay gap* (a difference in average pay across all jobs) from *unequal pay for equal work* (unlawful in the UK since the Equal Pay Act 1970): most of the measured gap reflects differences in occupation, hours and experience rather than direct discrimination in the same role.

Exam Tip: Do not treat the gender pay gap as proof of discrimination. A strong answer separates the causes — occupational segregation, part-time working, the motherhood penalty, unequal division of caring responsibilities, differences in negotiation and, in part, direct discrimination — and says which policies would address which cause.

Labour Market Failure and Government Intervention

Labour market failure occurs when the free market fails to allocate labour efficiently or equitably,

so that the wage and employment outcome is not the socially optimal one.

Sources of Labour Market Failure

Failure	Description	Consequence
Geographical immobility	Workers cannot or will not move between regions because of housing costs, family ties, differences in schooling, or the cost and risk of moving.	Unemployment in one region coexists with unfilled vacancies in another; regional wage gaps persist.
Occupational immobility	Workers lack the skills to move between occupations, so redundant workers from a declining industry cannot fill vacancies in a growing one.	Structural unemployment and skills shortages at the same time.
Skills shortages	Demand for particular skills exceeds supply, often because training takes years or firms under-invest in it.	Vacancies unfilled, output constrained, wage inflation in those occupations.
Imperfect information	Workers do not know about vacancies, pay rates or the future returns to a qualification; employers cannot observe true productivity.	Poor matching, under-investment in education, wages not equal to MRP.
Monopsony power	Dominant employers set wages below MRP and restrict employment.	Under-employment and under-payment relative to the competitive outcome.
Discrimination	Hiring and pay decisions not based on productivity.	Misallocation of talent, inequity, lower potential output.

Positive externalities of training	Firms fear trained workers will be poached, so under-invest; individuals under-estimate the social returns to education.	Training is a merit good , under-provided by the free market.
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Government Intervention

Policy	Failure targeted	Evaluation
Education and training — apprenticeships, T-levels, adult skills funding, the apprenticeship levy	Occupational immobility, skills shortages, under-provision of training	Raises MRP and shifts labour supply into shortage occupations, but long time lags and the risk that training does not match what employers actually want.
Housing and transport policy — affordable housing, rail and road investment, relocation support	Geographical immobility	Can be very expensive with long lead times; house prices in high-demand regions may absorb the benefit.
Improving information — job-matching services, careers advice, publishing pay data	Imperfect information	Cheap and quick, but has a limited effect if the underlying skills mismatch remains.
National Minimum Wage / National Living Wage	Monopsony power, in-work poverty	Raises pay and can raise employment under monopsony, but risks job losses where demand for labour is elastic.
Anti-discrimination law — Equality Act 2010, mandatory gender pay gap reporting for large employers	Discrimination	Addresses direct discrimination and increases transparency, but hard to enforce and does little about occupational segregation or caring responsibilities.

Trade union legislation	Excessive union power distorting wages	Increases flexibility and reduces real wage rigidity, but weakens the counterweight to employer monopsony power.
Childcare provision and flexible working rights	Economic inactivity, the gender pay gap	Raises labour force participation and shifts S_L right, but is costly to the public finances.
Migration policy	Skills shortages	A fast way to fill shortage occupations, but may reduce the incentive to train domestic workers and has wider social and political costs.

Exam Tip: Nearly every labour market policy can be expressed as a shift of either D_L or S_L . Training shifts both (raises MRP and increases supply to the occupation). Saying explicitly which curve shifts, in which direction, and what that does to the wage and employment turns a descriptive answer into an analytical one.

Evaluation: How Well Does Competitive Theory Describe Real Labour Markets?

Evaluation: Is the competitive model a good guide to the labour market?

- **Labour is not homogeneous.** The model assumes identical workers, but workers differ enormously in skill, experience and motivation, so a single "market wage" for an occupation is an abstraction.
- **Information is far from perfect.** Workers do not know every vacancy and employers cannot observe productivity directly, which is why identical jobs pay different wages in the same town and why wages are rarely exactly equal to MRP.
- **MRP is hard to measure.** In team production, services and public sector roles, an individual worker's marginal physical product cannot realistically be isolated. What is the MPP of a nurse, a

teacher or a police officer? MRP theory works best in simple, measurable, output-based jobs.

- **Neither side is a price taker in practice.** Monopsony is widespread — through the NHS and the Ministry of Defence nationally, and through dominant local employers — and 22.4% of employees were union members in 2025. Bilateral bargaining, not the intersection of two curves, sets pay in large parts of the economy.
- **Labour is immobile.** The model assumes workers move instantly to the highest wage. Housing costs, family ties and skills gaps mean real adjustment takes years, so wage differentials persist rather than being competed away.
- **Wages are sticky downwards.** Contracts, minimum wage law, union agreements and morale effects mean firms cut hours or headcount rather than nominal pay in a downturn — which the simple model cannot explain.
- **However:** the model still has real predictive power. It correctly explains why shortage occupations with inelastic supply pay well, why automation depresses wages for routine tasks, and why a rise in product demand feeds through into hiring. Used alongside monopsony and bargaining models rather than on its own, it remains the essential starting point.

Exam Tip — Building a 25-mark labour market answer: the strongest essays do four things. (1) Define the key term and state the theory. (2) Draw and fully explain *one* accurate diagram rather than three sketchy ones. (3) Apply a dated UK fact — the £12.71 NLW from April 2026, 22.4% union density in 2025, or the 6.9% full-time gender pay gap in April 2025. (4) Evaluate by challenging an assumption: is the market really competitive, how elastic is labour demand, and does the short run differ from the long run?